WK 6 / 12

Numbers into narrative

Graham's second investor, a story written from a fact sheet — and the evening we check every sentence against the record

We grade decisions, not outcomes.

Education, not advice.

0:00 — HARVEST

Your pre-mortems

Three read aloud

“It's three years on and it went badly. What most likely happened?”

Listen for the number

The strong ones name a figure that would have to move — a loss year, a debt, a dividend cut. The weak ones tell a story with no number in it.

Tonight

That difference is the whole evening: stories that point at the record, and stories that don't.

Education, not advice.

Effort, not nerve

DEFENSIVE

Wants “freedom from effort, annoyance, and the need for making frequent decisions.”

Seven tests. Size, strength, a long record — and a moderate price.

ENTERPRISING

“Willingness to devote time and care.”

Six tests. Cheapness first — nine times earnings or less — then quality relaxed, assets stricter. No size floor at all.

The extra effort buys the right to read small, dull companies the market walked past — at bargain prices only.

The Intelligent Investor p. 6; ch. 15 pp. 385–386

WHAT MOVED

Relaxed on quality, stricter on price

Test	Defensive (ch. 14)	Enterprising (ch. 15)	Direction
Earnings multiple	≤ 15× on a 3-year average	≤ 9× on the latest year — applied FIRST	stricter
Strength	CR ≥ 2; debt ≤ working capital	CR ≥ 1.5; debt ≤ 110% of WC	relaxed
Stability	No loss in 10 years (we hold 5)	No loss in 5 years	relaxed
Dividends	20 years unbroken (we ask 10)	Some current dividend	relaxed
Growth	+⅓ over 10 years	Above four fiscal years earlier (1970 v 1966)	relaxed
Assets	≤ 1.5× book (or the 22.5 product)	< 1.2× TANGIBLE book	stricter
Size	Sales ≥ $800m today	No size test	removed

Alphabet and Meta: fail the ten-year record, pass "some current dividend". Same history, two correct answers.

LIVE

Two screens, same books

`[ course URL ]/screen`

`[ course URL ]/screen/enterprising`

Read the footers first. On 17 Oct 2026: 37 of 38 failed the first cut; 38 of 38 failed tangible book — banks included. Who passes one screen and fails the other, and why?

Graham, 1970: about 150 of 4,500 passed all six. Then "a third selection… one out of five" — by judgment. Candidates are a reading list.

Education, not advice.

Every tip is a story

Mr. Market, 2026

He “lets his enthusiasm or his fears run away with him” — and now he lives in your pocket and sends notifications.

The habit

Every sentence about a company should point at a number on the record — a number you can find yourself.

Tonight's test

The toolkit will model that habit. Then we check whether it kept it.

Not cynicism. A habit.

The Intelligent Investor ch. 8 — course copy p. 188; Zweig p. 213

0:45 — EXPLAIN THIS STOCK

A story with its receipts

1 The fact sheet

Built from the books and both screens. Numbered: F1, F2… No AI involved.

2 The story

An AI is given the sheet and nothing else. Use only these facts; tag every paragraph; never recommend.

3 The check

Any number not on the sheet, any fact that doesn't exist, any advice-shaped phrase — flagged on the page.

4 The plain version

The course's own sentences from the same sheet. Two tellings, one record.

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0:55 — PAIRS: AUDIT THE STORY

Trace. Catch. Rewrite.

1 · Trace

Each sentence has a fact tag. Read the fact. Does it support the sentence? Mark ✓, × (not supported) or ? (true as far as you know — but not on the sheet).

2 · Catch

A number not on the sheet. A claim about WHY something happened. A word that nudges: “cheap”, “safe”, “opportunity”. The machine catches invented numbers and advice words. Wrong words and invented reasons are yours to catch.

3 · Rewrite

One sentence of your own, better than the AI's, with a fact tag.

A clean page is not a reason to stop checking. It's what checking looks like when it passes.

Same company. Three right answers.

Yahoo's “trailing”

Price over the last four quarters' earnings — whichever earnings Yahoo chose, GAAP or adjusted. You can't see which.

Ours: latest year

Price over the last fiscal year's diluted EPS, from the accounts. Graham's ch. 15 shortcut — “nine or less”.

Ours: 3-year average

Price over the average of three years' EPS. Graham's ch. 14 basis — it smooths a charge year or a windfall.

GM, 16 Oct 2026: 14.8× on the average — passes the defensive test. 25.6× on the latest (charge) year — fails the enterprising cut. Both are correct. Which did Graham ask for, and where?

The Intelligent Investor p. 349 (ch. 14), p. 385 (ch. 15)

THE QUESTION FROM WEEK 5

“Why not just use Yahoo — or pay?”

Paying buys breadth, not survivors

A paid feed returns the same accounts for the same companies — and the same zero. Nothing in a subscription makes a famous company cheaper. More companies, yes; we're getting those free.

You can't see the arithmetic

A site's P/E is one number. GAAP or adjusted? Trailing or fiscal? Here every ✓ and × traces to a line in the accounts — because the card, the screen and the code share one rules table.

A tool that always has a list…

…is selling the list. A free tool that says “nothing today” is telling you about the market, not about itself.

1:25 — HOMEWORK

Write it yourself

1 · Your own explanation

120 words on one company, from its fact sheet alone, no AI. Every sentence tagged with a fact id. Bring it printed.

2 · Read

TII ch. 15, pp. 385–387 — the winnowing and Table 15-1. And ch. 7, p. 165: Chrysler.

3 · Journal

The story I was told this week — and the number I found that checked it.

“We grade decisions, not outcomes.”

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The Economy 2.0

The free university text, tracking tonight's ideas:

MICRO UNIT 10 Market successes and failures — why a price can drift from what a thing is worth

MICRO UNIT 11 Asset markets and bubbles — stories, herds and the price of a share

MACRO UNIT 6 The financial sector — why banks need different tests

books.core-econ.org/the-economy

Education, not advice.